HFDC Auto Loan – Master Product Program Document

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Effective Date: Draft
Jurisdictional Assumption: India (adjust for other geographies)
Audience: Product, Credit/Risk, Sales/Dealer Relations, Operations, Legal/Compliance, Finance/Treasury, Collections, IT/Data, Audit

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1) Product Overview

Product Name: HFDC Auto Loan (Retail & Small Business)
Purpose: Financing purchase of **new** and **used** vehicles for personal and commercial use.
Scope: 2-Wheelers, 3-Wheelers, Cars/SUVs, Electric Vehicles (EVs), Light Commercial Vehicles (LCVs), Small Commercial Vehicles (SCVs), select tractors/agri-implements (if covered).

Core Value Proposition

- **Fast approvals** with digital KYC, bank statement analysis, eNACH/eSign.
- **Dealer tie-ups** with on-the-spot sanction offers and subvention options.
- **Risk-based pricing** and flexible structures (balloon, step-up/down, residual value for EV/lease-like programs).
- **End-to-end transparency**: Key Facts Statement (KFS), clear fees, and fair practices.

In-Scope Uses (illustrative)

- Personal mobility (new/used car, two-wheeler).
- Self-employed/commercial use (taxis, delivery fleets, 3-W/LCV).
- EV purchase including chargers/accessories (if bundled).

Out-of-Scope

- Unregistered vehicles, salvage/accident-repaired vehicles without certified refurbishment, very old vehicles beyond policy age, imported used vehicles without duty clearance, vehicles with tampered chassis/engine numbers, non-compliant emission class (as per policy).

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2) Product Variants

1. **AL-Prime (New Car/SUV – Floating/Fixed)**
    - Tenure: 12–84 months (up to 96 months for select OEMs).
    - LTV: up to 90–95% of **On-Road Price** (ORP) or **Ex-Showroom** depending on program.
    - Pricing: HRLR + spread (floating) or fixed for entire tenure.
2. **AL-Ride (Two-Wheeler)**
    - Tenure: 12–48 months (60 months for premium bikes).
    - LTV: up to 90–95% of **On-Road**; helmet/insurance financing optional.
3. **AL-EV (Electric Vehicles)**
    - Tenure: up to 96 months; residual-value / balloon options.
    - LTV: up to 90–95% ORP; charger financing up to a cap; green incentives where available.
4. **AL-Commercial (SCV/LCV/3-W/Taxi)**
    - Tenure: 12–72 months.
    - LTV: 70–85% of **Invoice/Assessed Value**.
    - Structures: Step-up (seasonality), route-permit linked, escrow from fleet aggregators.
5. **AL-Used (Pre-Owned)**
    - Vehicle age at purchase: ≤8 years (car) / ≤5 years (2-W)/per policy.
    - Tenure: up to 60 months with **age+tenure cap** (e.g., ≤12 years at maturity).
    - LTV: 50–80% of **Assessed Market Value** (valuator report mandatory).
6. **AL-TopUp/Refinance/BT**
    - Top-up after clean repayment track; refinance existing loan at HFDC; balance transfer with rate/tenor optimization.
7. **AL-OD (Fleet Working Capital against Vehicles – selective)**
    - Overdraft against hypothecated vehicles with tracking/escrow (advanced program).

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3) Key Parameters (Illustrative Ranges)

Segment	LTV (Max)	Tenure	Ticket Size	Rate (p.a.)	Processing Fee
New Car/SUV	85–95% ORP	12–84 mo	₹2L–₹80L	HRLR + 1.75–4.00% (or 8.5–14.5% fixed)	0.25–1.0%
Two-Wheeler	85–95% ORP	12–48 mo	₹25k–₹6L	10.5–22.0%	₹499–₹3,499
EV (Car/2-W/3-W)	85–95% ORP	12–96 mo	₹50k–₹80L	8.5–12.5% (green bands)	0.25–1.0%
Used Car	50–80% Assessed Value	12–60 mo	₹1L–₹40L	11.5–18.0%	0.5–1.5%
Commercial (SCV/LCV/Taxi)	70–85% Invoice/Assessed	12–72 mo	₹2L–₹50L	10.5–18.5%	0.5–1.5%

Notes:
• **ORP** includes ex-showroom, registration, road tax, basic insurance, standard accessories; discount handling in policy.
• **Subvention programs:** OEM/dealer buy-downs lower customer rate; ensure accrual & claw-back clauses.
• **Prepayment:** Floating loans to individuals typically nil/low charges; fixed/commercial may have charges as per policy & regulation.

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4) Eligibility & Demographics

Borrower Types

- Individuals (salaried, self-employed professionals, sole proprietors).
- Non-individuals (partnerships, private limiteds, LLPs) for commercial vehicles—Board resolutions & KYC required.

Age

- Individuals: 21–60 (salaried) / 21–65 (self-employed) at **maturity**.
- Firms/Companies: As per entity/guarantor norms.

Income & Stability

- Salaried: Minimum NMI ₹20k–₹40k (city tier wise), 6–12 months in current job, 2+ years work history.
- Self-Employed: 2+ years in business; ITRs/GST returns; banking surrogates allowed for small tickets.
- Commercial Operators: Route permits/aggregator contracts; escrow or trip sheet analysis.

Credit Behaviour

- Bureau score thresholds (e.g., 675–700+ preferred).
- No recent write-offs/settlements; low inquiry velocity; DPD history considered.

Co-Applicants/Guarantors

- Co-app mandatory for non-earning spouses (policy-based).
- For non-individuals: personal guarantees of promoters/directors may be required.

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5) Documentation (Checklists)

KYC & Basic

- PAN, OVD (Aadhaar—voluntary/Passport/DL/Voter ID), photo, email/mobile, FATCA/CRS (if applicable).

Income

- Salaried: Last 3–6 months salary slips & bank statements; Form 16/ITR.
- Self-Employed: ITR 2 years + audited financials (P\&L, Balance Sheet), GST returns, 6–12 months bank statements.
- Surrogates (select): Banking credits average, e-commerce/aggregator earnings, FASTag toll statements for commercial.

Vehicle & Dealership

- Proforma invoice or **sale invoice** (new).
- RC/Temporary Registration, insurance cover note, road tax receipt, RTO fee receipts.
- For **used**: RC copy, Form 29/30, NOC (if hypothecated), valid PUC, insurance transfer, odometer reading, independent **valuation report**, physical inspection checklist with photos, ownership chain, service records (if available).

Legal/Entity (for non-individuals)

- Registration documents (Partnership deed, MOA/AOA, LLP agreement), PAN/TAN, GST, Board resolution, KYC of authorized signatories.

Repayment Setup & Consents

- eNACH/eMandate, ACH mandate form, eSign/eStamp; Bureau & bank statement analyzer consent; GPS consent (if device installed).

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6) Credit Policy & Underwriting

Assessment Pillars

1. **Applicant Capacity:** Income stability, FOIR/DBR, banking behaviour, cash-flow volatility.
2. **Credit Behaviour:** Bureau score, DPDs, inquiries, existing EMIs/limits.
3. **Collateral/Asset Risk:** Vehicle type, depreciation curve, resale liquidity, EV battery health (where applicable).
4. **Deal Risk:** Dealer/OEM program quality, subvention credibility, geographic risk.

Standard Ratios (Illustrative)

- **FOIR/DBR:** 30–55% (salaried), 25–50% (self-employed), tighter for used/commercial.
- **LTV:** As per section 3, with caps for used/older vehicles.
- **Max Exposure:** Aggregate per borrower/entity; dealer exposure caps.

Used Vehicle Specifics

- **Age + Tenure cap:** e.g., ≤12 years (cars), ≤9 years (2-W) at maturity.
- **Valuation:** Empanelled valuer; market comparable (Droom/IBB/industry guide + physical condition).
- **Accident/Structural Damage:** Mandatory rejection or pricing risk premium with approvals.

Commercial/Taxi Programs

- Route permit verification; earnings visibility (trip sheets/aggregator statements).
- GPS installation and **insurance with hypothecation** mandatory.
- Escrow/assignments from aggregator (if available) to mitigate cash-flow risk.

Exceptions

- Allowed via documented **override matrix** with maker-checker-approver workflow and rationale logging.

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7) Pricing, Fees & Charges (Illustrative)

- **Interest Rate:** Risk-based (tiered by bureau, LTV, income stability, vehicle segment, dealer risk, geography).
- **Processing Fee:** Slabs/min-max caps; GST extra.
- **Other Charges:**
    - **Stamp/Agreement**: As per state.
    - **PDC/eNACH return**: ₹300–₹750 per instance.
    - **Late payment**: 2% p.m. on overdue amount (policy-capped).
    - **Repricing/Restructure**: As per policy.
    - **NOC/Revalidation/Document retrieval**: nominal fees.
- **Prepayment/Foreclosure:** For floating individual retail typically nil/low; fixed/commercial/BT may have 2–4% charges.
- **Subvention Handling:** Upfront accrual with claw-back if early closure before **X** months.

Transparency

- Publish **Tariff Card**; provide **KFS** & MITC at sanction and digitally.

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8) Disbursement & Post-Disbursal Controls

Disbursement Modes

- **To Dealer/OEM**: For new vehicles—preferred route.
- **To Seller**: For used vehicles post verification.
- **To Borrower**: Only statutory/insurance refunds or specific cases with approvals.

Pre-Disbursal Conditions (PDCs)

- Loan agreement executed; KYC complete; income assessment completed.
- Insurance **cover note** with hypothecation in HFDC's favour.

- For used: Valuation report, physical inspection photographs (VIN/chassis/engine plates), RC transfer readiness/NOC from previous financier.
- eNACH activation, GPS fitment (if mandated), down payment proof.

Post-Disbursal Document (PDD) Tracking

- RC smart card with hypothecation, original insurance policy (endorsement to HFDC), permanent registration, tax receipts, permits (commercial), fitness certificate, PUC.
- PDD TATs (e.g., 30–60 days); escalation and **DPD-like buckets** for PDD delays; dealer penalties if applicable.

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9) Interest, EMI Calculations & Illustrations

EMI Formula
EMI = P × r × (1+r)^n / [(1+r)^n – 1]
Where P=principal, r=monthly interest rate, n=number of months.

Example – New Car

- Loan ₹10,00,000; Tenure 60 months; Rate 10.5% p.a. (0.875%/month)
- **EMI ≈ ₹21,489**; Total interest ≈ ₹2,89,340 (approx; exacts vary with rests/fees).

Example – Used Car

- Loan ₹5,00,000; Tenure 48 months; Rate 14.5% p.a. (1.208%/month)
- **EMI ≈ ₹13,793**; Total interest ≈ ₹1,13,064 (approx).

Balloon (Residual) – EV Option (Illustrative)

- Principal ₹12,00,000; Tenure 60 months; Residual 20% (₹2,40,000)
- EMI calculated on ₹9,60,000; balloon due at maturity; resale/upgrade options per program.

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10) Customer Journey (Full Lifecycle)

A) Origination

1. **Lead & Pre-Qual**: Dealer desk, HFDC app/website, aggregators. Quick eligibility (bureau soft pull, FOIR estimate, LTV band).
2. **Application**: eKYC, income docs upload, consent capture.

3. **Underwriting**: Automated score + human review where needed.
4. **Sanction**: Sanction letter + **KFS/MITC**, validity window, PDCs printed.
5. **Documentation**: eSign/eStamp; ACH setup; insurance arranged (hypothecation).

B) Disbursement

- Validate **dealer/seller bank details**, verify vehicle details, confirm down payment receipt.
- Trigger disbursal; send **Welcome Pack** with EMI schedule, app login, grievance matrix.

C) Post-Disbursal Servicing

- EMI auto-debit; statements; interest certificates; address/mobile updates; insurance renewal reminders.
- Rate resets (floating) with advance notifications.
- PDD tracking & closure; RC hypothecation confirmation.

D) Collections & Hardship

- **DPD buckets:** 1–30 (soft), 31–60 (mid), 61–90 (hard), 90+ (NPA).
- Strategies: Digital nudges, call centre, field visits, **skip tracing**, hardship programs (tenure extension, instalment moratorium per policy), repossession as last resort.
- GPS/location pings (if installed) per consent & law; privacy-compliant use.

E) Closure

- **Foreclosure/BT-out:** Provide SOA & foreclosure letter; collect dues; issue **NOC** within T+7 days.
- **Hypothecation Removal:** Guide customer to RTO for de-hypothecation (Form 35, lender NOC, insurance endorsement).
- **Document Return:** Original documents returned; records updated; bureau status closed.

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11) Vehicle Appraisal & Technical Guidelines

New Vehicles

- OEM/dealer proforma invoice, variant verification, ex-showroom/ORP mapping, accessories policy (non-fundable fancy accessories excluded unless approved).

Used Vehicles

- **Physical inspection** with photos (exterior, interiors, odometer, VIN/chassis/engine).
- Accident checks (panel gaps, welds, paint thickness where tools allowed).
- Test drive checklist (engine/gearbox/brake/suspension).
- OBD scan (if available); service history review; tyre/battery age.
- **Valuation** by empanelled valuer with market comp tables; forced sale value (FSV) for recovery scenarios.
- **RC match** with physical chassis/engine numbers; theft/stolen database check (where legally accessible).

EV Specific

- Battery health (SoH where accessible), warranty years/kms, charger inclusion, home charger site readiness (earthing, load).
- Residual value curves & OEM battery replacement costs captured in product pricing.

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12) Legal & Regulatory (Indicative, India-centric)

- **KYC/AML:** As per Master Directions; maintain KYC records and periodic refresh.
- **Fair Practices & KFS:** Provide KFS & MITC with APR, fees, reset rules, grievance modes.
- **Hypothecation:** Endorsement in RC; timely Form 34/35 handling; ensure insurance policy reflects hypothecation.
- **Data Protection & Consent:** Explicit consent for bureau pulls, device/GPS, banking analysis; purpose limitation; retention schedules.
- **Repossession & Recovery:** Contractual clauses + applicable laws; respectful conduct; pre- and post-sale notices; surplus refund/deficit recovery rules.
- **Bureau Reporting:** Accurate and timely reporting; error correction SLAs.
- **State Transport & Tax Compliance:** Registration norms, permits for commercial vehicles, fitness & PUC schedules.

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13) Operations & Controls

Maker–Checker–Approver

- **Maker:** Sales/Ops—application capture, KYC, doc assembly.
- **Checker:** Ops QA—KYC completeness, dedupe/fraud rules, PDC validation.
- **Approver:** Credit—risk decision, exceptions.
- **Disburser:** Central Ops—final checks, pay-out controls.
- **PDD Desk:** Tracks RC hypothecation, insurance, permits.

Key Controls

- **Dedupe & Negative List** checks (borrower, dealer, vehicle VIN).
- **Bureau pre- and post-sanction** re-pull for long TAT cases.
- **Dealer Program Controls:** Agreement, payout reconciliation, subvention invoices, claw-backs.
- **Vehicle Existence** checks: pre-disbursal call with dealer, post-disbursal random audits.
- **Document Custody:** Barcoding, fire-safe storage, dual control; digitized copies in DMS.

SLAs (Illustrative)

- Sanction TAT: 2–24 hrs (complete apps).
- Disbursement TAT: 4–24 hrs post PDCs.
- PDD completion: 30–60 days (RC hypothecation/permits).
- NOC issuance: T+7 business days after closure.

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14) Risk & Fraud Scenarios (with Mitigants)

Scenario	Red Flags	Mitigation
Inflated income	Salary slips not matching bank credits	Direct HR verification; analyzer-based bank fetch

Scenario	Red Flags	Mitigation
Straw buyer	Multiple loans at single address/dealer with common contact	Device/IP dedupe; residence visit (risk-based)
Vehicle price manipulation	Over-invoicing, heavy discount off-books	Dealer reconciliation; OEM price lists; random calls
Used vehicle tampering	Odometer rollback, accidental structural repairs	Valuer checklist, OBD scan, paint thickness, service records
Stolen/duplicate VIN	VIN mismatch	Physical VIN verification; police/NCRB checks (where lawful)
Dealer collusion	High delinquency cluster from dealer	Dealer scorecards; payout holds; program suspension
Insurance gaps	Third-party only; no hypothecation endorsement	Mandatory comprehensive insurance with hypothecation

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15) Finance, Accounting & Capital

- **Income Recognition:** EIR method; fees amortized.
- **Provisioning:** ECL model with macro overlays; asset class segmentation (new/used/commercial/EV).
- **NPA:** 90+ DPD; interest reversal on NPAs per regulation.
- **Recovery Accounting:** Repossession inventory at lower of cost or NRV; auction proceeds netted with dues; surplus treatment per contract.
- **ALM/Treasury:** Match asset tenor/benchmark; manage fixed-vs-floating book; hedge as per policy.
- **Subvention Accounting:** Upfront recognition vs deferred—align with audit policy; claw-back accruals.

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16) IT, Data & Analytics

- **LOS/LMS:** API-first with eKYC, bureau, bank statement analyzer, eSign, ACH, DMS, GPS connectors.
- **Data Model (Core):** Applicant KYC, employment/business, income/obligations, bureau features, vehicle attributes (VIN/engine, variant, age, fuel/EV battery), dealer info, valuation, sanction terms, disbursement details, PDD tracker, repayment ledger, collections actions, repossession/auction, closure.
- **Dashboards:** Funnel/TAT, approval rates, yield by risk tier, LTV distribution, delinquency vintage, dealer scorecards, recovery outcomes, PDD pendency, EV vs ICE performance.
- **Security/Privacy:** Encryption, RBAC, audit logs, consent registry, data retention policy.

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17) Dealer & OEM Program Management

- **Onboarding:** KYC of dealership, GST, bank details, trade references, OEM authorization, site visit score.
- **Commercials:** Subvention slabs, volume incentives, payout TAT, claw-backs for early closures/DPD.
- **Compliance:** Display of HFDC rate board/KFS posters; no mis-selling; training certification for dealer sales executives.
- **Monitoring:** Conversion, delinquency vintage by model/trim, customer complaints, PDD pendency; program suspension triggers.

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18) Customer Instructions – How to Get an Auto Loan

1. **Check eligibility** on HFDC app/website (quick EMI & affordability calculator).
2. **Apply**: Upload KYC & income docs; select vehicle & dealer; consent to bureau/bank checks.
3. **Get sanction** with rate/tenure options and **KFS**.
4. **Complete PDCs**: eNACH, insurance (hypothecation), down payment proof.
5. **Disbursement to dealer/seller**; take delivery.
6. **During the loan**: Track EMIs in app, make part-prepayments, download statements/interest certificates.

7. **Close/BT-out** anytime; receive NOC; remove hypothecation at RTO and insurance.

Quick Documents

- KYC: PAN, OVD (Aadhaar—voluntary/Passport/DL/Voter ID), photo.
- Income proofs (as applicable).
- Vehicle invoice/valuation; insurance.
- eNACH, consents, agreement.

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19) Collections, Repossession & Customer Protection

- **Contact Strategy**: Respectful, time-band compliant; multilingual templates; digital nudges first.
- **Hardship Options**: Short-term payment arrangements, tenor extension, restructure per policy (with bureau reporting).
- **Repossession (Last Resort)**: Triggered after due notices; vehicle taken via authorized agents, inventory photographed, safe yard storage, auction via empanelled vendors; borrower can **cure** before auction by clearing dues. **Surplus refunded**; **deficit** pursued as per policy.
- **Conduct:** Staff/agents trained in fair-treatment; grievance escalation matrix shared in KFS.

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20) Launch Readiness Checklist

- ✅ Board-approved Product & Credit Policy; Delegation of Authority (DoA)
- ✅ Dealer/OEM agreements, subvention playbooks, payout & claw-back logic
- ✅ LOS/LMS integrations (eKYC, bureau, analyzer, eSign, ACH, DMS)
- ✅ Valuation empanelment (used), GPS vendor (if used), auction vendors
- ✅ Legal documents: Loan agreement, hypothecation forms, KFS/MITC, repossession/auction clauses
- ✅ Tariff card & website disclosures; branch/dealer posters
- ✅ Training for sales, credit, ops, dealer DSEs; mystery shopping plan

- ✅ PDD tracking engine; RC/insurance workflow; state RTO nuances documented
- ✅ MIS dashboards & early-warning models live; privacy & consent registers in place

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21) Templates (Key Extracts)

Sanction Letter / KFS – Essentials

- Loan amount, tenure, EMI, rate (benchmark+spread or fixed), fees/charges, prepayment rules, reset frequency, grievance redressal contacts, cooling-off/withdrawal where applicable.

Pre-Disbursal Conditions (Sample)

- Insurance with hypothecation, GPS installed (if required), down payment proof, eNACH activated, used vehicle valuation approved, prior loan NOC obtained (if refinance).

NOC / Hypothecation Removal

- NOC letter + Form 35; guidance note to customer for RTO & insurer endorsement.

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22) Example Risk-Based Pricing Grid (Illustrative)

Tier	Bureau	LTV	Segment	Employer/Business	Rate (HRLR +)
A+	≥780	≤75%	New Car	Category A employer	+1.75%
A	740–779	≤80%	New Car/EV	Category A/B	+2.10%
B	700–739	≤85%	New/Used	Mixed	+2.75%
C	660–699	≤80%	Used/Commercial	SME/Proprietor	+3.50%
D	620–659	≤75%	Used/Commercial	Higher variability	+4.25%

Final pricing influenced by geography, dealer program, stability, and product variant.

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23) Glossary

- **ORP:** On-Road Price (ex-showroom + RTO + basic insurance + taxes).

- **LTV:** Loan-to-Value ratio.
- **FOIR/DBR:** Fixed Obligations to Income Ratio/Debt Burden Ratio.
- **KFS/MITC:** Key Facts Statement / Most Important Terms & Conditions.
- **RC:** Registration Certificate; **PUC:** Pollution Under Control.
- **NOC:** No Objection Certificate (for closure or inter-state transfer).